ATHENA ECONOMICS

Walking Along the Cliff Edge

French Finance Bill 2027: What Should Transfer Pricing Professionals Expect?

An analysis of the RN and LFI programmes for transfer pricing and international taxation

Transfer pricing • Political risk



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Summary

- *Within eight days, the front-runner in the 2027 presidential race, Marine Le Pen (RN), and Jean-Luc Mélenchon (LFI), who is contesting second place, have each written a tax on multinationals based on their French sales into their plans for government.*
- *Twice, in November 2024 and October 2025, a short-lived coalition of opposing political forces at the National Assembly voted to tax multinationals on a share of their worldwide profit proportional to their French sales. Twice, the measure disappeared before the final law.*
- *What removed it was the absence of a majority for any budget containing it: the left and the RN vote the measure, but not the text that carries it. That safeguard, like the executive's opposition, may not survive the 2027 presidential election.*
- *The formula targets one profile above all: the low-margin French distributor of a profitable foreign group. That exposure can be quantified today.*

The backdrop: A House Divided Against Itself

A parliament without a majority: In June 2024, President Emmanuel Macron dissolved the National Assembly after his camp's defeat in the European elections. The snap elections produced a chamber split into three blocs of comparable size, none close to the 289 seats needed for a majority:[1]

- **The left:** A force led in seats by La France insoumise (LFI), the far-left party of Jean-Luc Mélenchon, together with the Socialists (PS), the Greens and the Communists. It came first, with roughly 190 seats.
- **The centre and the centre-right:** President Macron's coalition (Ensemble pour la République, the Démocrates, Horizons), joined in government by the conservative Droite

[1] Ministry of the Interior, results of the legislative elections of 30 June and 7 July 2024; the composition of the groups has varied marginally since.

républicaine. Together they form the "socle commun" that supports the government, with roughly 210 seats.

- **The far right:** The Rassemblement national (RN) of Marine Le Pen and Jordan Bardella, with its allies of the UDR group led by Éric Ciotti, with roughly 140 seats. It is the largest single party in the Assembly.

Since then, the Assembly has worked through shifting coalitions that change from one vote to the next.

- **A Prime Minister without a majority:** Sébastien Lecornu, the third Prime Minister since the elections, promised in October 2025 that Parliament would have the last word: "The Government will propose, we will debate, you will vote."[2] As described below, the promise did not survive the budget.
- **An election in sight:** The presidential election will be held in April and May 2027. Poll averages give Marine Le Pen about 34% in the first round. Jean-Luc Mélenchon (16.9%) and Édouard Philippe, Prime Minister from 2017 to 2020 (16.6%), are statistically tied for second place. In a Le Pen–Mélenchon run-off, she leads by 67% to 33%.[3]
- **Markets on edge:** The bond market is adding its own pressure. On 1 October, the 10-year OAT yield came close to 5%, its highest level since 2002, and its spread over the German Bund rose from about 70 basis points at the end of June to between 130 and 140 at the beginning of October (see cover).[4]

The news: In the space of eight days, the front-runner and one of the two candidates contesting second place have written the measure discussed in this note into their plans for government.

- **On 6 October, Marine Le Pen** proposed taxing multinationals "deemed to underpay" on the revenue they generate in France, using their average profit margin.[5]
- **On 14 October, Jean-Luc Mélenchon** listed a "universal tax on multinationals", the name LFI has given to this measure in its amendments, among the taxes of the amending finance law he would pass in summer 2027.[6]

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[2] French Government, "Ce qu'il faut retenir de la déclaration de politique générale de Sébastien Lecornu", 14 October 2025, https://www.info.gouv.fr/actualite/ce-qu-il-faut-retenir-de-la-declaration-de-politique-generale-de-sebastien-lecornu.

[3] Averages of first-round polls compiled by sondage-presidentielle.fr as of 8 October 2026, https://sondage-presidentielle.fr/candidat/jean-luc-melenchon; each underlying poll is registered with the Commission des sondages, https://www.commission-des-sondages.fr.

[4] Reuters, "TAUX-Les rendements obligataires se tendent, l'OAT touche un sommet depuis 2002", 1 October 2026, https://www.boursorama.com/bourse/actualites/taux-les-rendements-obligataires-se-tendent-l-oat-touche-un-sommet-depuis-2002-avant-de-refluer-actualise-835a60194a63a23aa7d9d0789e330791; Fondation iFRAP, "Peur sur la dette négociable française ?", 5 October 2026, https://www.ifrap.org/budget-et-fiscalite/peur-sur-la-dette-negociable-francaise; daily closes from Banque de France and Deutsche Bundesbank data, compiled by ideal-investisseur.fr, https://www.ideal-investisseur.fr/marches/spread-oat-bund.html.

[5] Reuters, "Factbox: French far-right presidential candidate Marine Le Pen's main budget proposals", 6 October 2026, https://www.investing.com/news/stock-market-news/factboxfrench-farright-presidential-candidate-marine-le-pens-main-budget-proposals-4934079; France 24 / AFP, "140 milliards d'économies : ce qu'il faut retenir de l'intervention de Marine Le Pen", 6 October 2026, https://www.france24.com/fr/info-en-continu/20261006-140-milliards-d-%C3%A9conomies-ce-qu-il-faut-retenir-de-l-intervention-de-marine-le-pen.

[6] Le Figaro, "80 milliards de dépenses, festival d'impôts : le budget coup de poing de Jean-Luc Mélenchon en cas d'élection", 14 October 2026 https://www.lefigaro.fr/elections/presidentielles/programmes/80-milliards-

None of this is new. The Assembly has already voted the same measure twice, on the 2025 and 2026 budgets, and each time it died with the text that carried it. After 2027, a President with a majority of their own could carry it through.

What this note does: For transfer pricing, one measure dominates the debate: an amendment taxing multinationals on a share of their worldwide profit proportional to their French sales, referred to below as the "Apportionment Rule".

To anticipate what may happen to it in the 2027 budget and later, we look back at autumn 2025 (Act I), set out the paths open for the current bill (Act II) and what could change after the presidential election (Act III), before turning to what transfer pricing professionals should watch and do.

Act I, autumn 2025: How Did the Vote Go?

The vote: Potentially major transfer pricing changes were on the menu of the French Parliament in 2025, during the debate on the 2026 budget. On 28 October 2025, the National Assembly adopted an Apportionment Rule amendment tabled by Éric Coquerel (LFI), chair of its Finance Committee:

- Any company operating in France would be taxed on the share of its group's worldwide profit corresponding to the ratio of French to worldwide revenue, subsidiaries held above 50% included, at the standard 25% rate.
- The difference with the tax actually paid would be recovered as a "tax deficit".[7] In substance, this is formulary apportionment on a single sales factor, applied as a minimum tax.

It passed by 207 votes to 89, against the government's opinion. The RN supplied 78 of those votes, more than LFI itself.[8]

This had already happened in 2024: The Assembly had adopted the same LFI amendment in November 2024, on the 2025 budget. It died when the Assembly rejected its own amended revenue section on 12 November, by 362 votes to 192.[9] The bill went to the Senate in its original version, and the budget finally passed under Article 49(3) in February 2025 did not contain it.[10]

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de-depenses-festival-d-impots-le-budget-coup-de-poing-de-jean-luc-melenchon-en-cas-d-election-20261014. The overall figures of LFI's counter-budget are confirmed by Franceinfo, "L'invité politique du mercredi 14 octobre 2026", https://www.franceinfo.fr/replay-magazine/franceinfo/l-invite-politique/l-invite-politique-du-mercredi-14-octobre-2026_8207213.html. LFI's full programme is due on 6 November 2026.

[7] National Assembly, PLF 2026, amendment no. I-1938 (Coquerel), https://www.assemblee-nationale.fr/dyn/17/amendements/1906A/AN/1938.pdf; LégiFiscal, "PLF 2026 : un nouvel impôt universel sur les multinationales", https://www.legifiscal.fr/actualites-fiscales/4295-plf-2026-nouvel-impot-universel-multinationales.html.

[8] National Assembly, public vote no. 3187, 28 October 2025, https://www.assemblee-nationale.fr/dyn/17/scrutins/3187; breakdown by group in NosParlementaires, "Taxer les superprofits : qui a voté quoi à l'Assemblée", 7 October 2026, https://nosparlementaires.fr/actualites/taxer-les-superprofits-qui-a-vote-quoi-a-l-assemblee.

[9] LCP, "Budget 2025 : l'Assemblée nationale a rejeté la partie recettes, l'ensemble du texte va être transmis au Sénat", 12 November 2024, https://lcp.fr/actualites/budget-2025-l-assemblee-nationale-a-rejete-la-partie-recettes-l-ensemble-du-texte-va.

[10] LégiFiscal, "Promulgation de la loi spéciale", December 2024, https://www.legifiscal.fr/actualites-fiscales/3973-promulgation-loi-speciale.html; Law no. 2025-127 of 14 February 2025, LégiFiscal, "Promulgation de la loi de finances 2025", https://www.legifiscal.fr/actualites-fiscales/4039-promulgation-loi-finances-2025.html.

Please note that the alliance went no further: the same week, the RN joined the centre and the right to reject LFI's tax on windfall profits.[11]

The filter: The same sequence repeated itself in 2025.

- On 21 November 2025, the Assembly rejected the revenue section of the 2026 bill almost unanimously, which meant rejecting the whole bill; the left and the RN voted against it for opposite reasons.
- The bill returned to the Assembly, which still had no majority for any version.
- The government, despite Lecornu's pledge, then adopted the final text in January 2026 by using Article 49(3) of the Constitution three times.
    - This procedure allows the government to pass a text of its choosing without a vote unless a censure motion is carried.[12]
    - Lecornu survived because the Socialists declined to censure him, in exchange notably for the suspension of the 2023 pension reform.

In other words, the left and the RN vote the amendment, but not the budget that contains it.

Act II, autumn 2026: A Truce Under Strain

LFI has tabled the Apportionment Rule again on the 2027 bill (amendment no. 871); the Assembly is due to vote on the revenue section on 20 October.[13] Four outcomes are possible:

- **It does not get through Parliament:** The RN does not vote for it this time, or the Assembly again rejects its own amended revenue section, as in 2024 and 2025, and the bill goes to the Senate without it.
- **The truce holds:** With no majority for any version, the government adopts the budget under Article 49(3), with the PS or the RN declining to censure. It chooses the final text and leaves the Apportionment Rule out once more, as in 2025 and 2026.
- **Censure without dissolution:** As in December 2024, the government falls and Parliament passes a special law allowing existing taxes to be collected, and nothing more. A new government then negotiates the budget from a weaker position, but again writes the final text.[14]
- **The Apportionment Rule passes:** This would require the government to accept it, for instance as a concession to the Socialists, who voted for it in 2025. It is unlikely: the

[11] National Assembly, public votes no. 3151 (27 October 2025) and no. 3236 (29 October 2025).
[12] Senate, "Projet de loi de finances pour 2026", https://www.senat.fr/travaux-parlementaires/textes-legislatifs/la-loi-en-clair/projet-de-loi-de-finances-pour-2026.html; Law no. 2026-103 of 19 February 2026, https://www.legifrance.gouv.fr/jorf/id/JORFTEXT000053508155.
[13] NosParlementaires, op. cit.; Le Club des Juristes, "Budget 2027 : la motion de rejet préalable rejetée par les députés", 14 October 2026, https://www.leclubdesjuristes.com/en-bref/budget-2027-la-motion-de-rejet-prealable-rejetee-par-les-deputes-17829/.
[14] The President may also dissolve the Assembly again, which has been possible since July 2025. Snap elections would then produce a new majority, and the government formed from it would write the final text. Article 47 of the Constitution also allows the bill to be enacted by ordinance if Parliament fails to decide within 70 days, a route never used so far.

government opposes it, and as early as November 2024 its budget minister described some of the taxes voted by the Assembly as contrary to European treaties.[15]

The most likely path combines the first outcome with the second or the third: the measure falls in the Assembly or the Senate, and the government then writes the final text, under Article 49(3) or after a censure. Either way, the Apportionment Rule stays out of the 2027 finance law. The risk moves to 2027 and beyond.

Act III, spring 2027: When the Filter Changes Hands

A President elected without a majority would likely dissolve the Assembly to seek one. The first budget of the new majority would be an amending finance law in summer 2027 or the 2028 budget.

The RN has moved the measure into its programme: On 6 October 2026, Le Pen presented her budget platform.[16]

- Multinationals deemed to underpay French tax would be taxed on revenue generated in France, using their average profit margin to estimate taxable profit.

  This is the Apportionment Rule, with a trigger.

Furthermore please note that the RN voted:

- Against the surcharge on large French companies, on 27 October 2025; and
- In favour of sales-based apportionment, on 28 October 2025.

The two positions are consistent. Its fiscal logic is territorial: production taxes fall on plants and payrolls in France, whereas a sales-based formula falls mainly on groups that sell in France and book their profits elsewhere. Taxing foreign groups where they sell fits a programme built around protecting domestic production, because it promises revenue without taxing domestic voters or employers. The same platform promises a EUR 20 billion cut in production taxes.

LFI - Same tool, different motives: LFI reaches the same formula from another starting point.

- The explanatory statement of its 2025 amendment, citing Gabriel Zucman, claims that 40% of multinationals' profits are shifted to tax havens, and puts the cost of tax evasion for France at EUR 80 to 100 billion a year, a figure taken from the association Attac.[17]
- The subject is familiar to LFI's leadership: before entering politics, Manon Aubry, one of the party's leading figures and its lead candidate in the 2019 and 2024 European elections, spent four years in charge of Oxfam France's advocacy on tax evasion and inequality.[18]
- Rather than challenge prices transaction by transaction, the rule would reallocate a group's total profit according to where its customers are, and recover the difference.

[15] LCP, 12 November 2024, op. cit.
[16] Reuters, op. cit.
[17] National Assembly, PLF 2026, amendment no. I-1938 (Coquerel), exposé sommaire, op. cit.
[18] Public Sénat, "LFI : Manon Aubry, quand la recrue « citoyenne » devient tête de liste", https://www.publicsenat.fr/actualites/non-classe/lfi-manon-aubry-quand-la-recrue-citoyenne-devient-tete-de-liste-136806.

- On 14 October 2026, Mélenchon confirmed that this "universal tax on multinationals" would be among the first measures of an LFI government, alongside a windfall-profits tax and a financial transactions tax; his full programme is due on 6 November.[19]

Two different motives converge on a single instrument. This is why the alliance holds on this measure and on almost nothing else, and why, so far, it has never produced a budget.

Would the exercise of power bend them? Three constraints would apply to any government that tried:

- **Treaties and EU law:** The measure would collide with France's tax treaties, which rank above statute under Article 55 of the Constitution. EU law adds a second layer. A tax that in practice weighs more heavily on foreign groups than on French ones would raise freedom-of-establishment issues under Article 49 of the Treaty on the Functioning of the European Union. The minimum taxation of large groups is also already harmonised by the Pillar Two directive, which France transposed in its 2024 finance law.[20]

  Yet this protection is limited: treaty compliance is reviewed by the ordinary courts, not the Constitutional Council, case by case and years after assessment. In the meantime, the tax is collected.

- **Washington:** The burden would fall heavily on US groups selling into France. The United States opened a Section 301 investigation into France's digital services tax in 2019 and announced retaliatory tariffs in 2020 before suspending them.[21] A sales-based tax on profits would be a far greater provocation.

- **The bond market:** This is the binding constraint. In August 2023, the Meloni government in Italy announced a windfall tax on banks; after the market reaction it was amended within weeks to let banks allocate the amount to reserves instead, and most of them did.[22] In the United Kingdom, the September 2022 mini-budget was reversed within weeks and cost the Prime Minister her post.

Our reading is that power would bend the form more than the principle. Under an RN government, the likely outcome is not the Apportionment Rule as drafted by LFI but a narrower anti-avoidance minimum tax, applying only above thresholds and to groups whose French margin falls well below their group margin. The RN platform already points that way with its "deemed to underpay" trigger. An LFI government would be less inclined to soften the measure, but it is also less likely to take office: Mélenchon trails in every run-off poll and would still need a majority in the Assembly.

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[19] Le Figaro, op. cit.
[20] Treaty on the Functioning of the European Union, Article 49; Council Directive (EU) 2022/2523 of 14 December 2022 on ensuring a global minimum level of taxation, https://eur-lex.europa.eu/eli/dir/2022/2523/oj; transposed by the finance law for 2024 (French General Tax Code, Articles 223 VJ et seq.).
[21] Office of the United States Trade Representative, Section 301 Investigation of France's Digital Services Tax, report of 2 December 2019 and action announced on 10 July 2020; BDO, "U.S. Imposes 25% Tariffs on $1.3 Billion of French Goods", July 2020, https://www.bdo.com/insights/tax/u-s-imposes-25-tariffs-on-$1-3-billion-of-french-goods.
[22] ANSA, "Banks opt out of windfall tax, put funds into reserve", 9 November 2023, https://ansa.it/english/news/business/2023/11/09/banks-opt-out-of-windfall-tax-put-funds-into-reserve_0a9d7b33-31e7-40d8-9dcd-7b8fef3c190c.html.

What transfer pricing professionals should actually watch and do

The calendar: Two dates and one indicator will tell which path France is on:

- **20 October 2026:** The vote on the revenue section. Check whether the re-tabled Apportionment Rule amendment is adopted and, later, whether any text adopted under Article 49(3) retains it.
- **November–December 2026:** The PS decision on censure, most likely when the government engages its responsibility on the budget.
- **The spread:** A spread durably above 150 bp would raise the cost of every option, the populist one included.

Quantify the exposure now: Compare the profit your French entities declare with French sales multiplied by the group's margin. A limited-risk distributor earning a few percent in a profitable group is the profile both programmes target. Under the RN's version, which would apply only to groups "deemed to underpay", robust arm's length documentation becomes the first line of defence: it is what shows that a low French margin reflects limited functions and risks.

France has not fallen. It is walking along the edge, held back by an Assembly whose majority for the Apportionment Rule never votes a budget. In seven months, a President with a majority of their own could remove that safeguard, and the bond market would decide how far they could go.